



Problem: Young working professionals and students who are new to managing their own finances find themselves **stuck with bad spending habits** and unable to break the initial **barrier to investing and saving**

Solution: Proposed changes in **Paytm** app to save up small amount of money of **microinvestment** anytime a **guilty purchase** is made (named as **self-tax**). Introduce personal finance management features to ease out the process of money management

Meet Gunjan

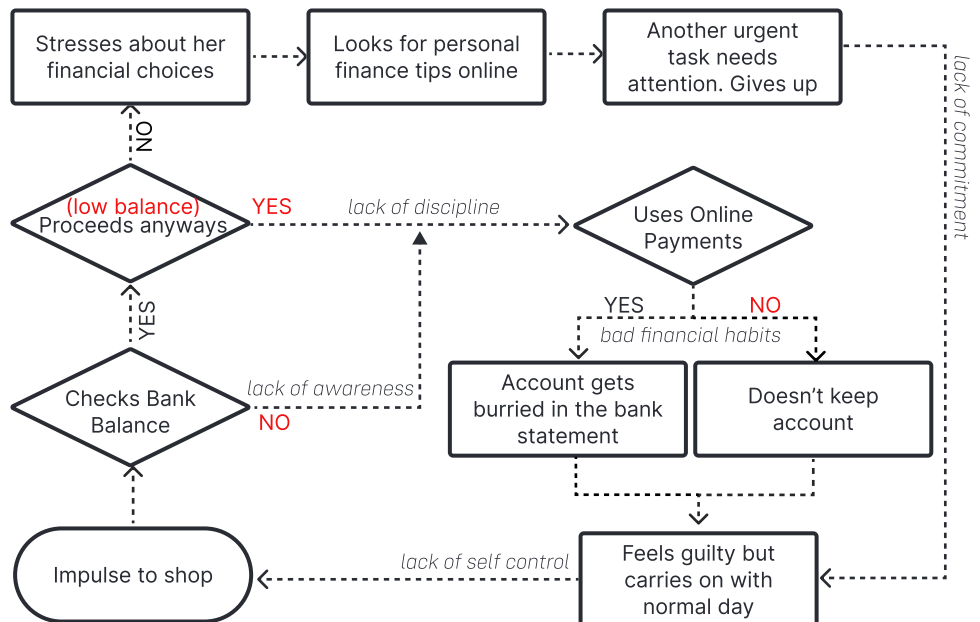


- Age - 25 F | Whitecollar Job
- Uses online payments ever since **UPI** became popular
- Keeps **busy** with work and MBA applications

Characteristics

- Unable to control impulsive spendings on things she barely needs
- Underestimates expenses and overestimates her bank balance
- Intrigued by the idea of investing and passive earning but thinks she doesn't earn enough

Gunjan is stuck in the guilty spending loop



"UPI doesn't feel like reel money" Cashless effect: People are more likely to overspend when no physical money transaction is involved²

Scale of the Problem - Gunjan is not Alone

- Most people find **budgeting tedious** and **time consuming** and hence fail to maintain consistency. According to a survey **65%** people have no idea how much they spent last month³, and **2 in 5 have never had a budget**⁴
- Investment **seems capital intensive** and focus intensive. People believe they don't have the brain-space to be plugged into market fluctuations. The major challenge is to overcome the mental barrier to address personal finance issues
- Spending is **addictive**¹. Impulse to shop is essentially hard to resist especially when various industries are trying to get people to spend more with targeted marketing and constant internet exposure

3% of Indian population invests in stock market

39% of people age 18-24 in the India invest



81% of all digital transactions were UPI in 2023

82% of students want to invest but don't - student survey

41% of students feel they overspend - student survey

Pain Points	Possible Solutions	Complexity	User Satisfaction
Loosing track of expenses and unaware of current balance	Smart budget tracker		
Not saving enough for investments	Micro-investments alternatives		
Not having the brain space to manage finances	Easier and more intuitive personal finance manager		
Giving into bad financial habits	Dealing with cues to replacing bad habits		

Note: * Table colours Complexity/Satisfaction, Ease;

Sources: 1 [Times Magazine](#) '22; 2 the study - [click here](#); 3 & 4 Surveys on spending habits - [click here](#) [3](#) [4](#)

Problems with Existing Products and Services

1. APPS FOR BUDGET TRACKING like Sprouts, Jupiter, Fi
 - **Problems:** **mis-categorization**, some of them have **rigid onboarding** (asking user to make private bank accounts that might lead complexity in taxation)
2. INVESTMENT APPS like Zerodha
 - **Problems:** Don't tackle **mental barrier** that makes people ignore PF issues resulting in **mostly finance geeks** using the app rather than a broader user base. Despite the effort to simplify, they are loaded with too much information **overwhelming** for folks **new to investing**
3. MONEY SAVINGS APPS like Jar, Money manager
 - **Problems:** Heavily rely on personal discipline and consistency of the user

Common shortcomings of the existing products

- Need time and commitment
- Ineffective automations
- Need onboarding and learning new interface
- Do not address mental barriers and habit loops

Tackling the problem:



Proposed solution is integration of **Budget tracking** and **cue driven Micro-investment** features in **Paytm**

Why Paytm?

- Paytm already has wallet feature to segregate funds and Paytm Money - making it perfect to introduce the feature that can build upon the **existing infrastructure**
- Existing users engage with Paytm on a daily basis. Large adoption of new features can be achieved by adding it to a **user flow that people are already comfortable with**.
- Paytm is **integrated with large number of platforms** making it easy to scale the solution, build on the consumer trust and place itself as **one stop solution** for all PF* issues
- Paytm has a large growing user base with 3rd largest market share after PhonePe and Gpay in terms of UPI transactions value. Introduction of features that enhance user-experience will help Paytm to expand it's user base

UPI accounts for around **52%** of India's total digital transactions⁵

Paytm shares a total market size of approximately **10.8%** of UPI transactions⁶

About **89%** of UPI users aged between 16 to 24 years prefer Paytm over any other app⁷

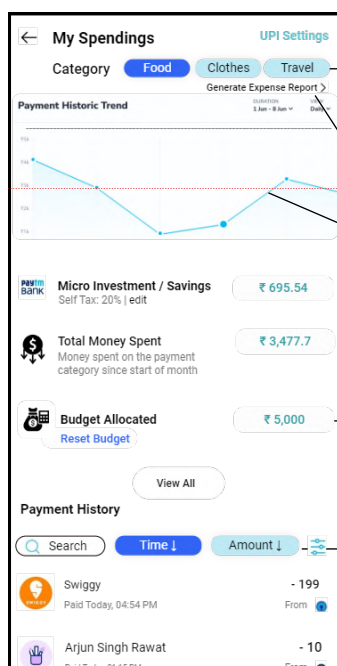
Solution

1. Expense Categorization & Analysis

2. Introducing "Pots" & "Fun Tax"

Step 1 - Categorizing payments, setting budget limits, generating expenditure reports

- Why Categorization and budgeting ?
 - Research suggests budgeting and categorizing **expenses reduces** likeliness of future expense in the category
 - Accurate categorization is necessary to introducing "Fun tax", meant to attach savings to spending habit cues⁸
- Why should a UPI app integrate budgeting and tracking?
 - According to a college survey, avg student reported **opening UPI apps at least 3 times a day**. Most **budgeting apps** are downloaded in a the short spurt of motivation and **lie ideal** and unused. With its **large market penetration** and user engagement, Paytm has to **opportunity to dominate personal finance** market



Category wise expense breakdown

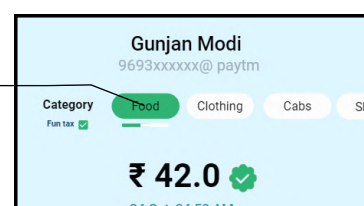
Generate elaborate expense reports and insights

See trends in habits and get notified every time budget line is hit

Allocate Budget and always be conscious of your limits. Even while spending

Re-categorize right at the payment screen if auto categorize fails. Filter out expenses with better filters of time location etc

Category	Percentage	Pot	Budget
Clothing	10%	Pot 1	15000
Food	20%	Pot 3	5000



Issues with current Paytm analytics

- Works only for Paytm wallets
- Mis-categorization
- No concept of budget, only monthly expense view

Note: *PF- Personal Finance

Source: 5, 6, 7 - National Payment Corporation (NPCI.org) ; 8 - Study (Heath and Soll 1996; Soman 2001; Soman and Lam 2002)

Solution

1. Expense Categorization & Analysis

2. Introducing "Pots" & "Fun Tax"

Step 2 - Deduction of "fun tax" everytime Gunjan makes a guilty purchase using Paytm UPI

- What is fun tax?
 - Small **percentage cut made on the final price of a purchase** user defines as "guilty". For eg.

Gunjan is tired of junk food habit	identified food as guilty category	Buys burger worth Rs 40	Makes payment of Rs 400	+Rs 40 deducted as fun-tax	Gets stored in the pot	Pot hits Rs 500, money invested
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- What are **Pots**?
 - They are **digital piggy banks** to store small sums of money till they hit a certain defined cap

Setting Up	Activates fun tax > Makes Pots > Selects guilty category > Sets % fun tax > Ready to go
Payment flow	Payment > Double checks category > Additional fun tax deducted > Amount added to the selected pot
Post Payment	Create/edit categories > Build different pots for different investments and goals > Check earnings

Change **auto categorization** to achieve accuracy

Toggle to **deactivate fun tax**

Set the **budget, percentage cut** for each category. Make a category "non-guilty" whenever you want

Visualize the used **budget** allotted to category

20% (adjustable) moved automatically to pot

Option to **cancel** the current fun tax deduction

Manage the pots, set where it is investing, **see live market** trends, and **money earned** by the microinvestments

Options to manage pots, **check balance**, spending and Micro-investments just after spending

Option to **create different pots** for separate goals and investments

Category	Percentage	Pot	Budget	Fun tax applied
Clothing	10%	Pot 1	15000	✓
Food	20%	Pot 3	5000	✓
Cabs	10%	Pot 1	4000	✓
Alcohol	30%	Pot 3	15000	✓

Pot 1
Day 106
Total Return: ₹ 11352

Pot 3
Day 56
Total Return: ₹ 5862

Feature Launch!	Introducing pots!	Self-Tax Scheme	Money-manager	Product launch Steps
- Categorize expense during payments to - Analysis of past transactions against several filters	- Putting money aside for specific goals - Allowing auto-savings on monthly basis	- Introducing "Fun-Tax" on user selected expense categories - Options to personalize and set rules for this self tax	- Linking fun-tax to Paytm money with auto investment option - Notifications and AI generated advice on finance management	
# Payments categorized by users # Click on expense analysis reports	# Pots created by users - Amount of money saved into pots per user - Increase in Monthly Active Users (MAU)	# Users opting for self-tax rules - Amount of money per user deposited by users via fun tax	# Investment linked pots & money value - Money saved monthly & profits earned through investments per user	Metrics & KPIs

Breaking the loop



Fallbacks and Walkarounds

- Making two consecutive payment requires user to **enter UPI pin twice**
 - Solution:** App will ask the user to agree to a **clause to transferring upto 1L rupee** while onboarding to the feature, allowing Paytm to transfer funds. This clause can be revoked by users and they can track the transfer
- Risk associated** with investment can be **ignored** by consumers not willing to pay much attention
 - Solution:** **Low risk options** like bonds will be present. Risk factor associated with the options of investments will be **mentioned clearly** under each pot supporting the purpose to help user build better financial habits and feel in control of their money